# ACME Manufacturing Inc. - Independent Auditor's Report

For the year ended December 31, 2024

To the Shareholders and Board of Directors of ACME Manufacturing Inc.

## Opinion

We have audited the consolidated financial statements of ACME Manufacturing Inc., which comprise the consolidated balance sheet as at December 31, 2024, and the consolidated statement of income, statement of changes in equity, and statement of cash flows for the year then ended, and notes to the financial statements.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section, the consolidated financial statements present fairly, in all material respects, the financial position of the Company.

## Basis for Qualified Opinion

As described in Note 6 to the financial statements, the Company entered into lease agreements with ACME Properties LLC, an entity controlled by the Chief Executive Officer. The Company recorded lease payments of $4.8 million to this related party during the year. The terms of these agreements were not subject to independent valuation, and we were unable to determine whether the lease payments were made at arm's length.

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Key Audit Matters

## Key Audit Matters

### Revenue Recognition

The Company recognized revenue of $485.2 million in FY2024. The timing of revenue recognition is a key audit matter due to the complexity of the Company's multi-element software and hardware arrangements.

We tested a sample of revenue transactions, reviewed the Company's revenue recognition policies against ASC 606, and obtained management representations.

### Valuation of Intangible Assets

The Company acquired two subsidiaries during FY2024 for total consideration of $72 million, recording $38.1 million of intangible assets.

### Internal Controls

We identified a material weakness in the Company's internal control over financial reporting relating to the period-end cutoff of vendor invoices. Management has not yet remediated this material weakness as of the report date.

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Going Concern

## Substantial Doubt About the Company's Ability to Continue as a Going Concern

The accompanying consolidated financial statements have been prepared assuming the Company will continue as a going concern.

As discussed in Note 2.1 to the financial statements, the Company's cash flows from operations have declined from $51.0 million in FY2022 to $19.6 million in FY2024. The Company's current ratio of 1.1x is below the industry average of 2.0x, and its debt-to-equity ratio has risen to 2.1x.

Additionally, on June 15, 2025, subsequent to year-end, the Company received notice of potential covenant violations from its primary lender. These matters, along with the fact that $85 million of short-term debt matures within 12 months while the Company has only $22.1 million in cash, raise substantial doubt about the Company's ability to continue as a going concern.

This constitutes a going concern qualification. The financial statements do not include any adjustments that might result from the outcome of this uncertainty.

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Critical Accounting Estimates & Litigation

## Critical Accounting Estimates

### Inventory Valuation

The Company maintains inventory of $85.3 million. Due to rapid technological obsolescence, the Company recorded an inventory write-down of $6.2 million in FY2024. The determination of net realizable value involves significant management judgment.

### Allowance for Doubtful Accounts

Accounts receivable balance of $98.5 million. The Company's allowance for doubtful accounts was reduced from 3.2% in FY2023 to 2.1% in FY2024 despite an increase in accounts receivable aging over 90 days from 8% to 14%.

### Pending Litigation

The Company is party to litigation with a former supplier relating to an alleged breach of a supply agreement. The Company disputes the claim and has recorded a contingent liability of up to $6 million. Legal counsel believes the range of possible loss is between $2 million and $6 million.